KEY BENEFIT ADMINISTRATORS

OPPORTUNITY REVIEW | NOVEMBER 2026

Direct-to-Employer Go-to-Market Strategy

Exploring a Froedtert ThedaCare Health direct-to-employer health plan for self-funded employers in eastern Wisconsin and northern Illinois

Prepared for

Froedtert & Medical College of Wisconsin



EXECUTIVE SUMMARY

A branded health plan built for Froedtert ThedaCare

A large, reachable market

4,400+ employers with 900,000+ employees are headquartered in the Froedtert ThedaCare service area, from Milwaukee to the Fox Valley and Green Bay.

Steerage that moves share

Froedtert ThedaCare holds an estimated 23% inpatient share today. KBA DTE networks average 83% Tier 1 steerage; we model 67% inpatient by Year 4.

Claims paid, not denied

In a comparable KBA DTE program, fewer than 3 in every 1,000 claims were denied or held for information in 2025.

$17.1M

Projected Year 4 net margin change for Froedtert ThedaCare
Target case: 10,900 members, 67% inpatient and 58% outpatient steerage, 30.4% commercial margin



ABOUT KEY BENEFIT ADMINISTRATORS

A national leader in self-funded plans

1979
Founded in Indianapolis

3,000+
Corporate clients

3M
Members under management

700
Employees

- Largest independently owned full-service third-party administrator
- Specialists in self-funded plan administration and population health management
- A leader in the direct-to-employer movement
- Works with every professional team: agents, networks and MGAs
- The Key Family of Companies is a vertically integrated group of benefit organizations

OUR FOUNDING AND HERITAGE

46 years of striving for honesty in healthcare



Larry Dust
Founder, Key Benefit Administrators

1979

Founded KBA

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA as a TPA focused on honest healthcare delivery.

1985

Partnered with BCBS

Sold to Blue Cross Blue Shield of Indiana, gaining capital and market access while keeping operational independence.

1992

Reacquired KBA

Larry bought the business back, returning it to full independence and a patient-focused mission.

Today

Largest independent TPA

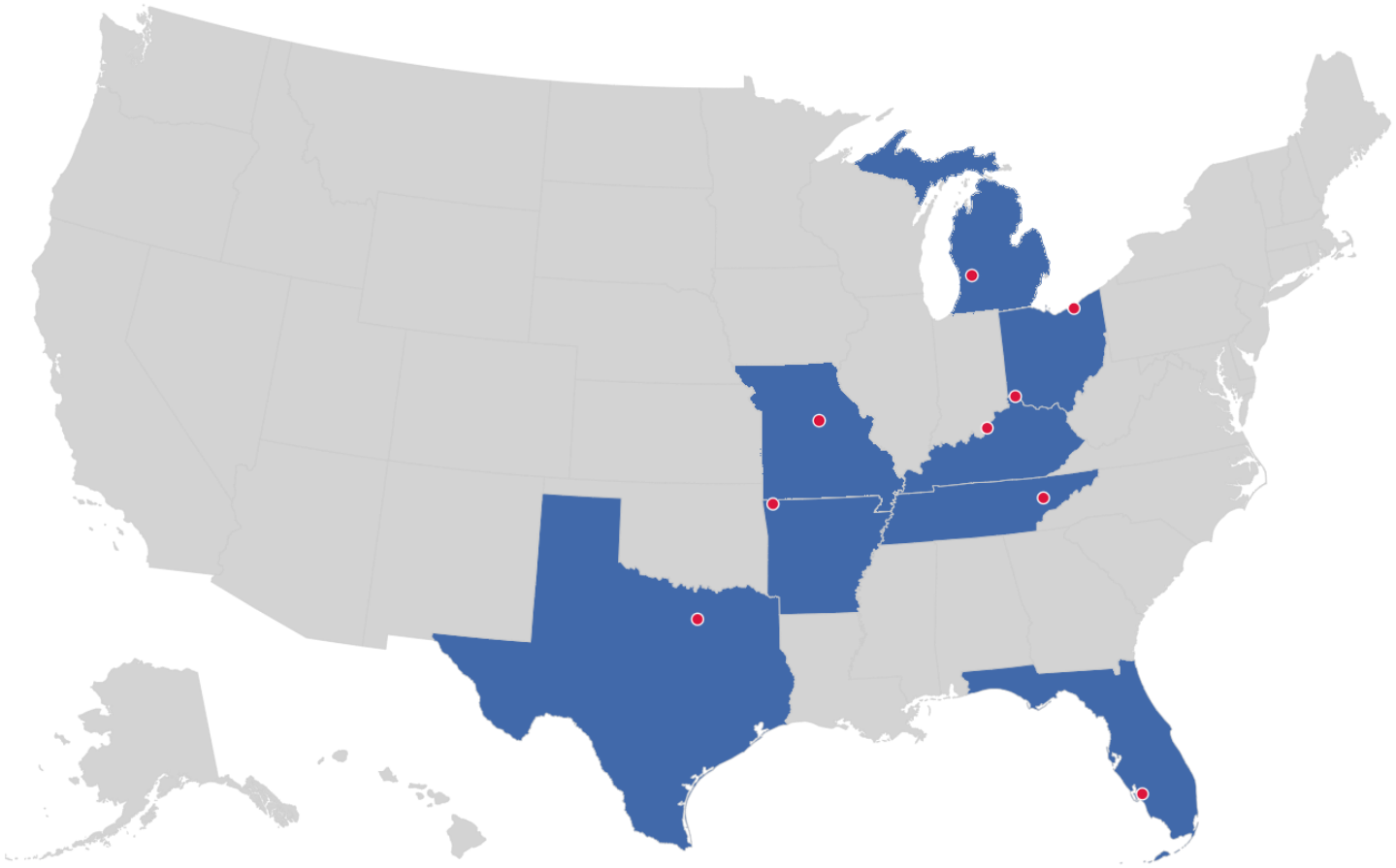
KBA is the country's largest independently owned TPA, managing millions of members across diverse markets.

Never forgotten who gives healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

TRACK RECORD

Market leader in private-labeled DTE plans



Private-labeled DTE markets

- Cleveland, OH
- Cincinnati, OH
- Grand Rapids, MI
- Columbia, MO
- Louisville, KY
- Knoxville, TN
- Bentonville, AR
- Dallas-Fort Worth, TX
- Fort Myers, FL

Nine private-labeled DTE markets

2025 CLAIMS EXPERIENCE

Fewer than 3 in 1,000 claims denied or held

2025 denial experience, comparable KBA DTE program (% of claims processed)

0.27%

Full denials

0.02%

Full LOIs (lack of information)

0.29%

Combined denials and LOIs

Share of claims denied



LOIs are soft denials, not final denials. They are issued when more information is needed to adjudicate a claim, and these claims are often paid once the information is received.

**Blue Cross denial rate reported by another Midwest academic health system.*

HOW IS THIS POSSIBLE?

The low denial rate is by design.

- Plan designs customized for each DTE partner
- No heavy-handed pre-certification or prior authorization used to deny claims
- One simple strategy: steer patients to our partner system and pay claims accurately and quickly

01

The direct-to-employer model

A health plan built on a direct relationship with self-funded employers in Froedtert ThedaCare's market

KEY BENEFIT ADMINISTRATORS

Your health plan, your market, your margin

- **YOU** pick the name of the health plan
- **YOU** determine the fees charged
- **YOU** practice the medicine
- **YOU** receive the profits
- **WE** make it successful

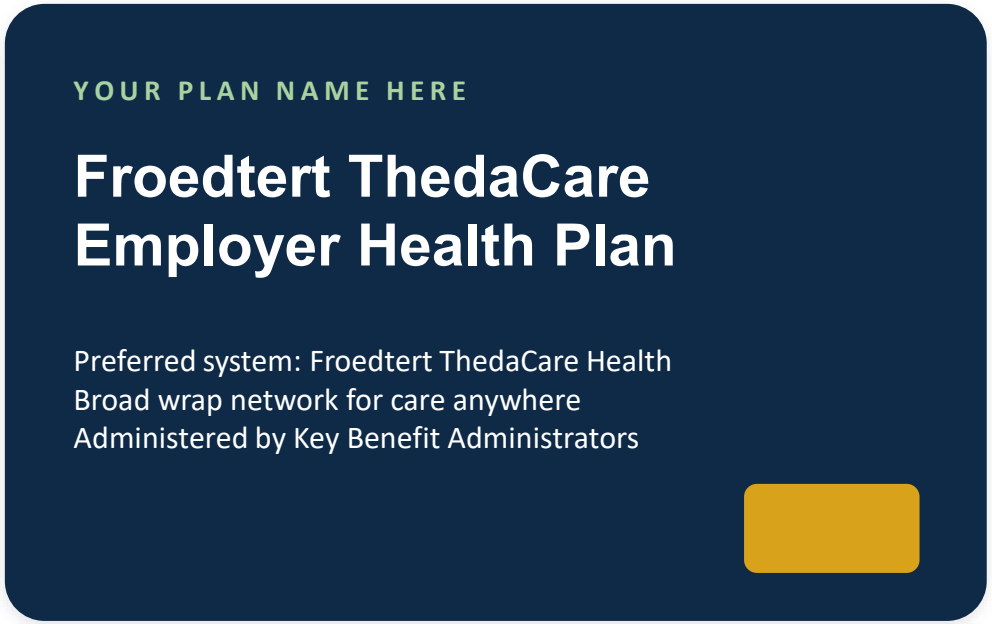


Illustration only. Froedtert ThedaCare chooses the plan name and brand.



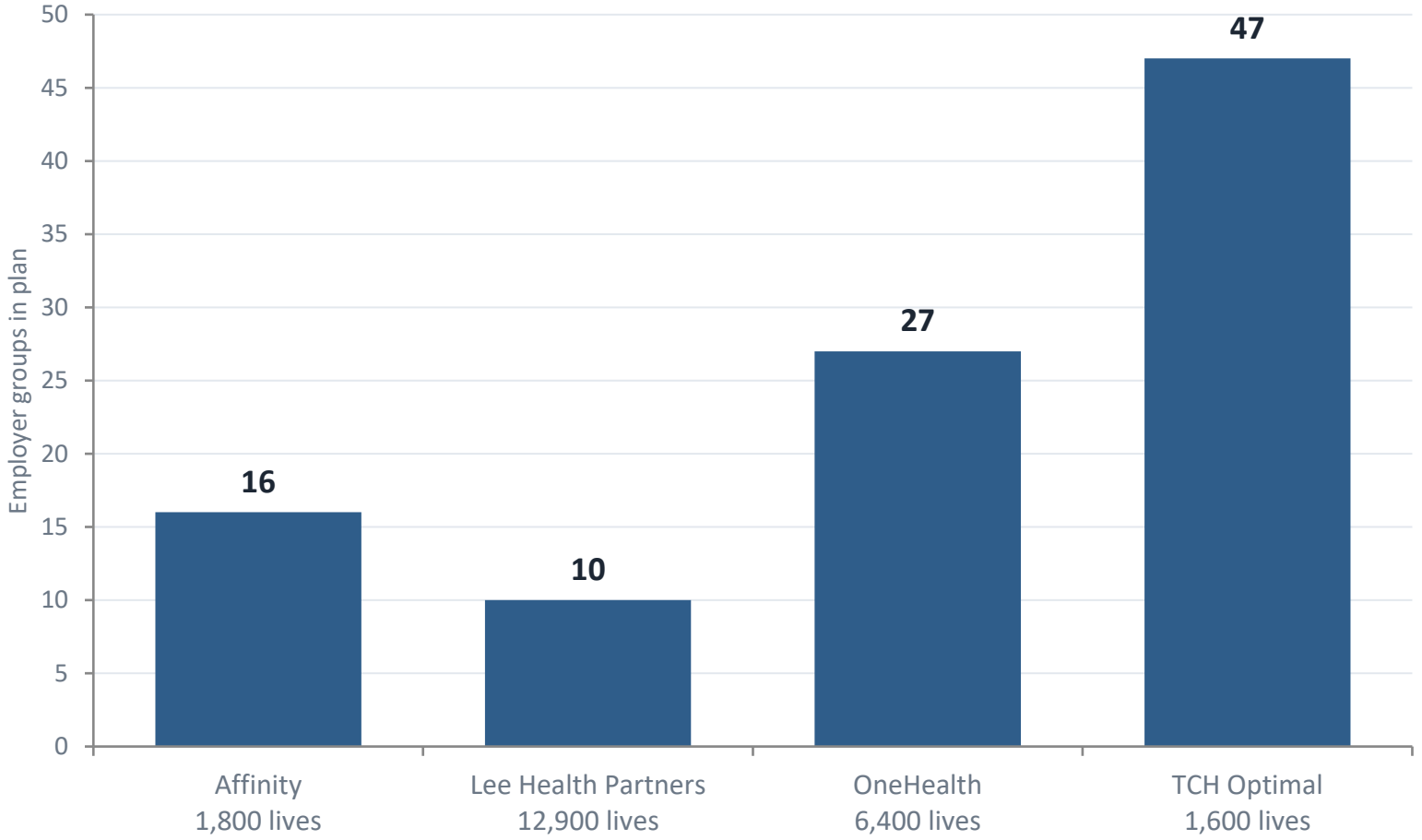
DIRECT-TO-EMPLOYER STRATEGY

Powerful employer value

- Lower medical spend through lower unit costs and better integrated care
- A seat "at the table" with Froedtert ThedaCare
- Aligned financial incentives
- Complete transparency into plan expenses and cost drivers
- Aggressive stop-loss premiums and policy terms
- Higher employee satisfaction
- Better cash flow and a more stable future cost trend

PROVEN ADOPTION

KBA plans average 25 employer groups in two years



25

average employer groups per plan within the first two years

22,700

lives across these four plans in their first two years

Only available to premier health systems

Froedtert & Medical College of Wisconsin

Froedtert ThedaCare meets every criterion

STRONG

Brand quality

EXTENSIVE

Patient access

AFFORDABLE

Value pricing

EXCELLENT

Care quality

Froedtert ThedaCare Health is patient recommended

Percentile rank versus U.S. health systems; KBA brand quality score weighs HCAHPS patient recommendation most heavily

Health system	HCAHPS recommend	CMS stars	Mortality	Readmission	KBA brand quality
Emplify Health	82	88	77	79	74
Northwestern Medicine	70	100	83	67	68
ProHealth Care	65	90	71	69	68
Department of Veterans Affairs	69	73	61	50	67
Froedtert ThedaCare Health	**66**	**66**	**62**	**62**	**67**
Advocate Health	56	90	63	57	63
Hospital Sisters Health System	48	77	56	74	60
SSM Health	42	90	70	64	59
Ascension Health	24	67	69	71	52
American Healthcare Systems	0	27	63	55	44

67

KBA brand quality score for Froedtert ThedaCare Health

Froedtert ThedaCare scores ahead of Advocate, HSHS, SSM Health and Ascension, the systems it most often competes with for employers in its core Wisconsin counties.

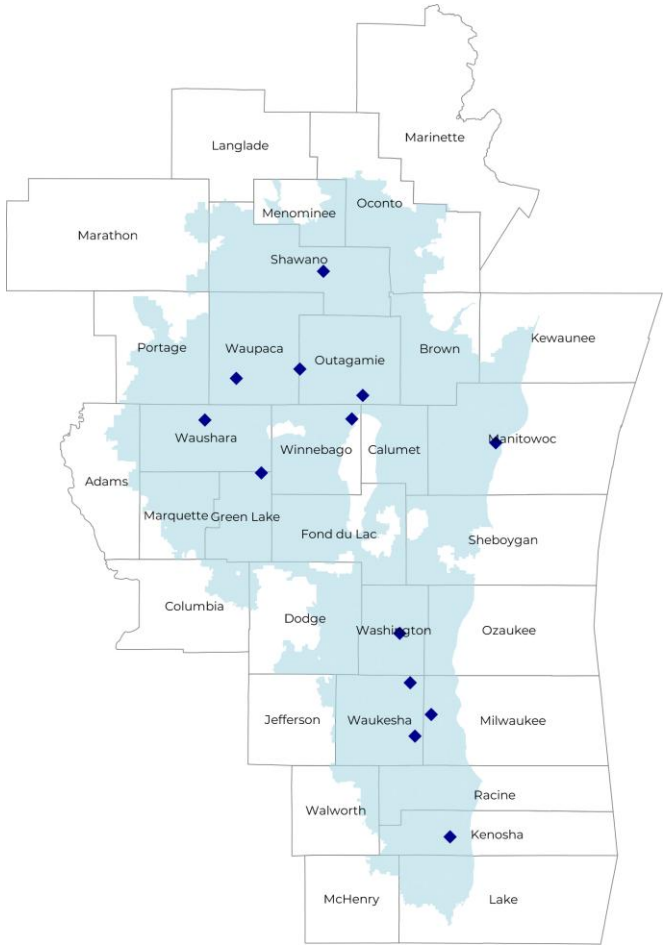
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Market opportunity and projections

What a Froedtert ThedaCare-branded plan could deliver in its service area

KEY BENEFIT ADMINISTRATORS

Significant room for plan growth



4,400+

Employers

900,000+

Employees

1,700,000+

Members

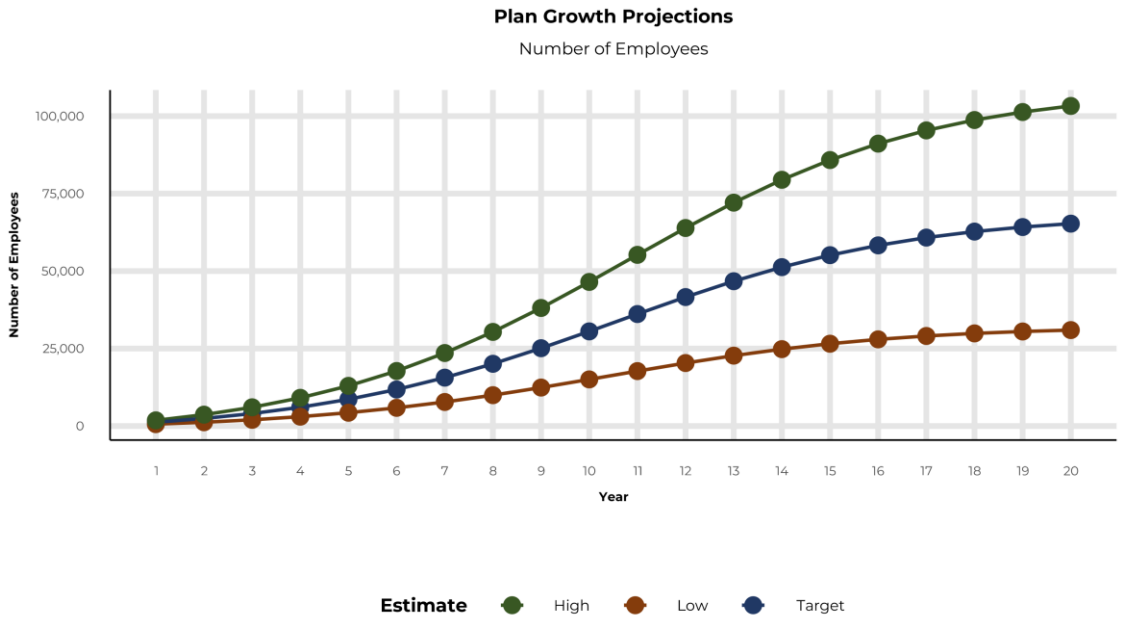
Commercial employers headquartered in the Froedtert ThedaCare catchment area, by employer size (number of employees)

	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Employers	2,307	1,026	619	367	127	78
Employees	173,000	153,900	185,700	256,900	254,000	468,000
Members	311,400	277,000	334,300	462,400	457,200	842,400

MARKET OPPORTUNITY

Plan potential growth paths

Population	3,500K
Working age	2,056K
Insured	1,546K
Self-funded	895K



Service area includes Lake and McHenry counties in Illinois and Brown, Calumet, Columbia, Dodge, Fond du Lac, Green Lake, Jefferson, Kenosha, Kewaunee, Manitowoc, Marquette, Menominee, Milwaukee, Oconto, Outagamie, Ozaukee, Portage, Racine, Shawano, Sheboygan, Walworth, Washington, Waukesha, Waupaca, Waushara and Winnebago counties in Wisconsin.

Growing powerful, lasting profitability

Early stage

Gaining name recognition, early growth

New revenue
$29.14M

New profit
$8.79M

Growth stage

Strong reputation, strong growth

New revenue
$174.19M

New profit
$53.51M

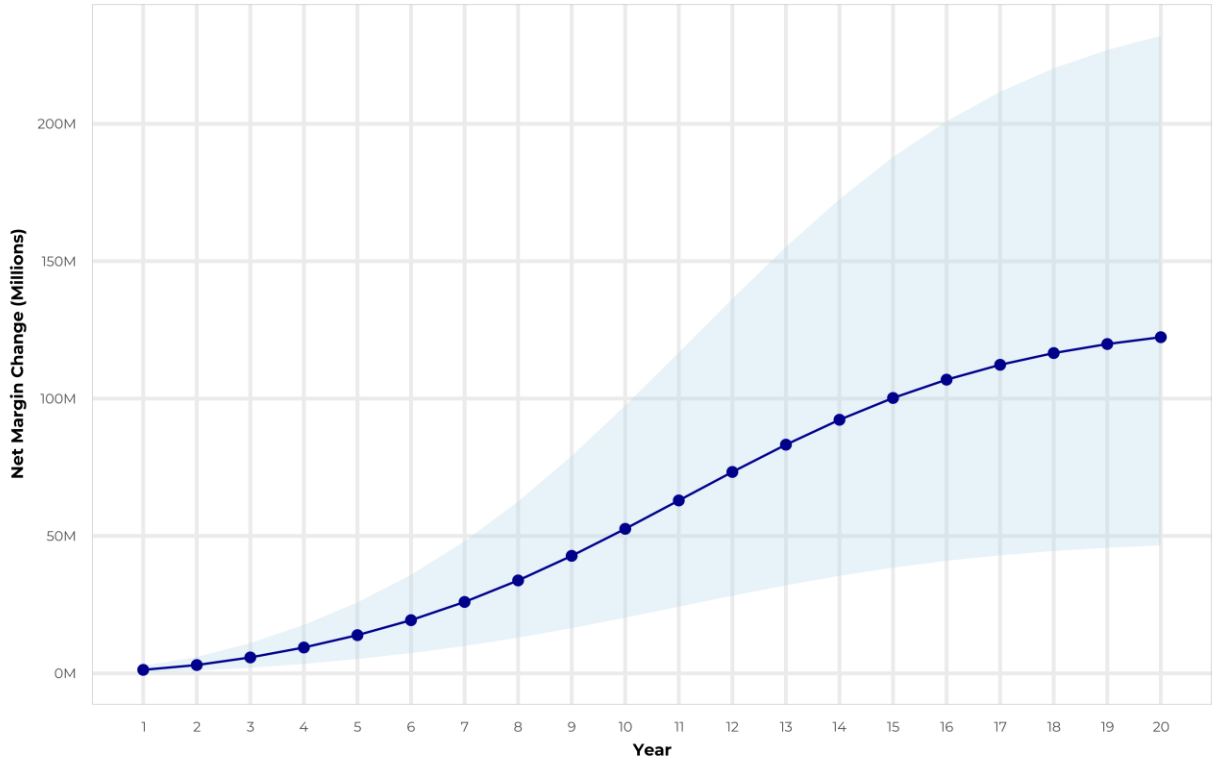
Mature stage

High profitability, market saturation

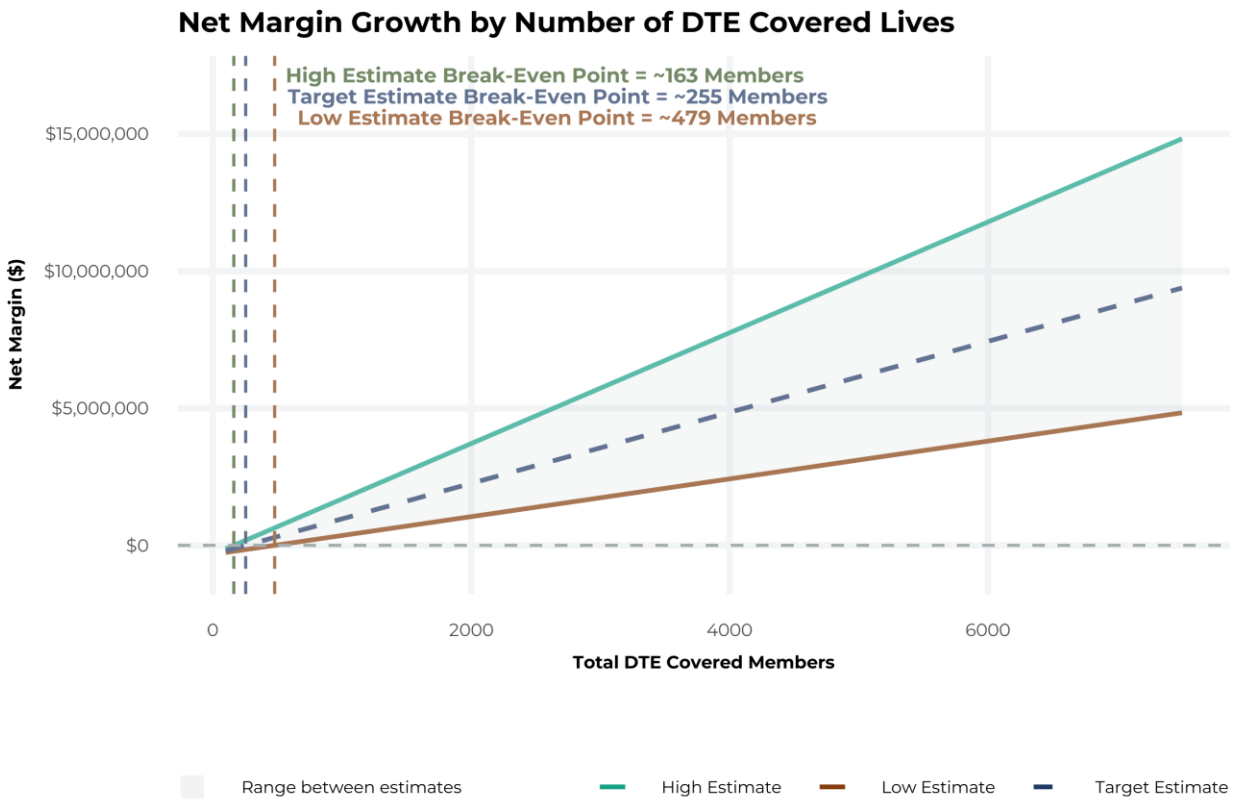
New revenue
$357.94M

New profit
$110.07M

Net margin change over 20 years: target case, high-to-low range shaded



Model assumptions and break-even



Patient steerage

KBA estimates Froedtert ThedaCare has 23% inpatient and 14% outpatient market share in its service area. The tiered DTE design creates immediate steerage, with more over time from member bonus benefits and the Convenience Card.

Low	High
10% below target	**10% above target**

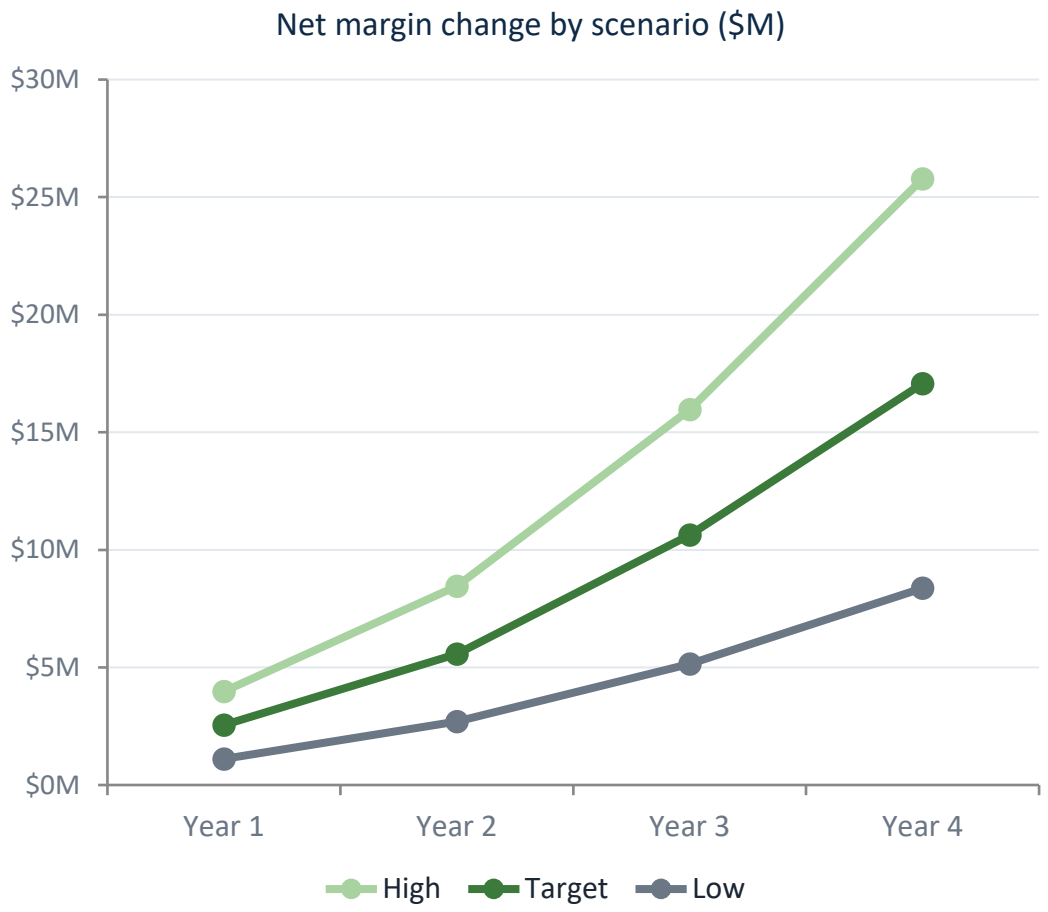
Commercial margin

KBA observes a 38% Froedtert ThedaCare commercial margin. We conservatively model DTE pricing 10% below market, offset by a 10 point gain from friendlier billing and better patient collections.

Low	Target	High
25.4%	**30.4%**	**35.4%**

FOUR-YEAR PROJECTIONS

Net margin change grows to $17.1M by Year 4



Target case ($K)	Year 1	Year 2	Year 3	Year 4
Number of Members	2,200	4,400	7,300	10,900
Incremental Margin	2,848.9K	5,701.2K	10,729.6K	17,119.9K
Network Access Fee	26.4K	52.8K	87.6K	130.8K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**2,545.3K**	**5,574.0K**	**10,637.2K**	**17,070.7K**

HIGH CASE, YEAR 4

$25.8M

16,400 members

LOW CASE, YEAR 4

$8.4M

5,400 members

SINGLE-YEAR SUMMARY

Margin impact by number of covered members

Target estimate: 50%+ within-plan steerage and a 30.4% commercial margin

DTE Members	Pre-DTE Revenue	Pre-DTE Margin	DTE Revenue	DTE Incr. Revenue	DTE Total Margin	DTE Incr. Margin	Net Margin Less DTE Fees
100	$196K	$59K	$618K	$422K	$188K	$128K	**$-201K**
500	$979K	$297K	$3,089K	$2,110K	$939K	$641K	**$317K**
1,000	$1,957K	$595K	$6,177K	$4,220K	$1,878K	$1,283K	**$965K**
2,500	$4,893K	$1,487K	$15,444K	$10,551K	$4,695K	$3,207K	**$2,907K**
10,000	$19,572K	$5,950K	$61,774K	$42,202K	$18,779K	$12,829K	**$12,619K**
20,000	$39,144K	$11,900K	$123,548K	$84,405K	$37,559K	$25,659K	**$25,569K**



Upside not included: 340B. Projections exclude 340B contribution margin, which could reach $136 PMPM by optimizing 340B through Rx plan design, Froedtert ThedaCare's approved sites with network integration, and a Froedtert ThedaCare proprietary PBM program. Detailed analysis is in the appendix.

03

Steering members to Froedtert ThedaCare

The Key Incentive Plan turns preferred-provider choice into real dollars for members

KEY BENEFIT ADMINISTRATORS

Affordability without compromise

Employers take back control of their healthcare programs while members keep freedom of choice and are rewarded for choosing high-quality, cost-effective care.

Basic medical benefit

Customized major medical plan with access to a broad network of providers.

Preferred Plus Benefits*

Benefits paid at preferred providers: real dollars to members who get the care they need, when they need it.

Health Guardian Account

KBA tracks and administers Preferred Plus Benefits, out-of-pocket expenses and the Convenience Card.

Healthcare Convenience Card

0% interest, no-fee card for out-of-pocket expenses at preferred providers.

Chronic disease and acute illness management

Patented program covering 28 chronic illnesses with 11% to 17% savings and a $14 to $1 ROI.

PBM, specialty Rx and GLP-1 program

Transparent Rx programs with 1-on-1 coaching: about 20%+ savings on Rx and 10% on overall claims.

*Daily inpatient hospital benefit, OP surgery/anesthesia, OP radiology/X-ray, OP diagnostic labs, health screening benefit, wellness benefit, critical illness

Base medical + Preferred Plus: the deductible can vanish

Example: a member with a $2,500 deductible and $4,500 out-of-pocket maximum has a heart attack and cardiac surgery with a 5-day inpatient stay. At a preferred provider, $4,925 in Preferred Plus Benefits cover the full $4,500 out-of-pocket, so the member owes $0. At a non-preferred provider, the member owes $4,500.

Base medical benefits*	
Deductible (single / family)	$2,500 / $4,500
Coinsurance	80% / 20%
Max out-of-pocket (single / family)	$4,500 / $9,000
Chronic disease regimens of care	Covered at 100%
Healthcare Convenience Card	0% interest
Health Guardian Account	Included

Preferred Plus Benefits	Preferred	Non-preferred
OP radiology / X-ray	$200	$0
OP diagnostic labs	$100	$0
Preferred hospital stay ($500/day, 5 days)	$2,500	$0
Critical illness benefit	$2,000	$0
Health screening benefit	$125	$0
Total employee out-of-pocket	$4,500	$4,500
Preferred Plus Benefits	$4,925	$0
Employee amount due to provider	**$0**	**$4,500**
Added to Health Guardian Account	$425	$0

*Base medical benefits are for illustration only and can be customized to client needs.



WHAT WILL THIS CLAIM COST ME?

The benefit steers the patient to Froedtert ThedaCare

Explanation of benefits: heart attack, cardiac surgery	
THE CHARGES	
Medical bills	$25,000
Out-of-pocket due to provider	$4,500
THE CREDITS	
OP radiology / X-ray	$200
OP diagnostic labs	$100
Preferred hospital stay ($500/day, 5 days)	$2,500
Critical illness benefit	$2,000
Health screening benefit	$125
Benefit total	**$4,925**
Out-of-pocket paid to hospital	($4,500)
Balance paid to Health Guardian Account	**$425**

Froedtert ThedaCare patients can have all out-of-pocket liability reduced to $0

KEY BENEFIT ADMINISTRATORS



THE KBA HEALTHCARE CONVENIENCE CARD

Creating EPO steerage in a PPO network

The card works only for specific merchant codes, so it rewards care at preferred providers.

1. **Use at specific healthcare providers**
   Designated hospitals, urgent care facilities, physicians and eligible ancillary providers
2. **Out-of-pocket expenses qualify**
3. **0% interest rate**
4. **Employee sets the repayment schedule**
5. **Simple to qualify**
   Answer one simple question

WEIGHT MANAGEMENT

GLP-1s that don't break the bank

Prime Therapeutics reports GLP-1 spend per member per month tripled by March 2025, now about 15% of total pharmacy spend, with more than 1 in 50 members filing a GLP-1 claim in Q1 2025.

THE CHALLENGE

$1,089-$1,349

per month for traditional GLP-1s, an unsustainable cost that limits employee access

OUR SOLUTION

$249

per month for generic GLP-1 medications secured by Key Benefits, with strict budget control

THE IMPACT

$7M

saved by one major city that was spending $11M a year on GLP-1s

Beyond medication: comprehensive care

Members get specialized coaching twice a month on keeping muscle strength, moderate exercise and lasting lifestyle changes that sustain weight loss after GLP-1 treatment ends.

270

conditions linked to obesity (Cleveland Clinic)

$8.5K

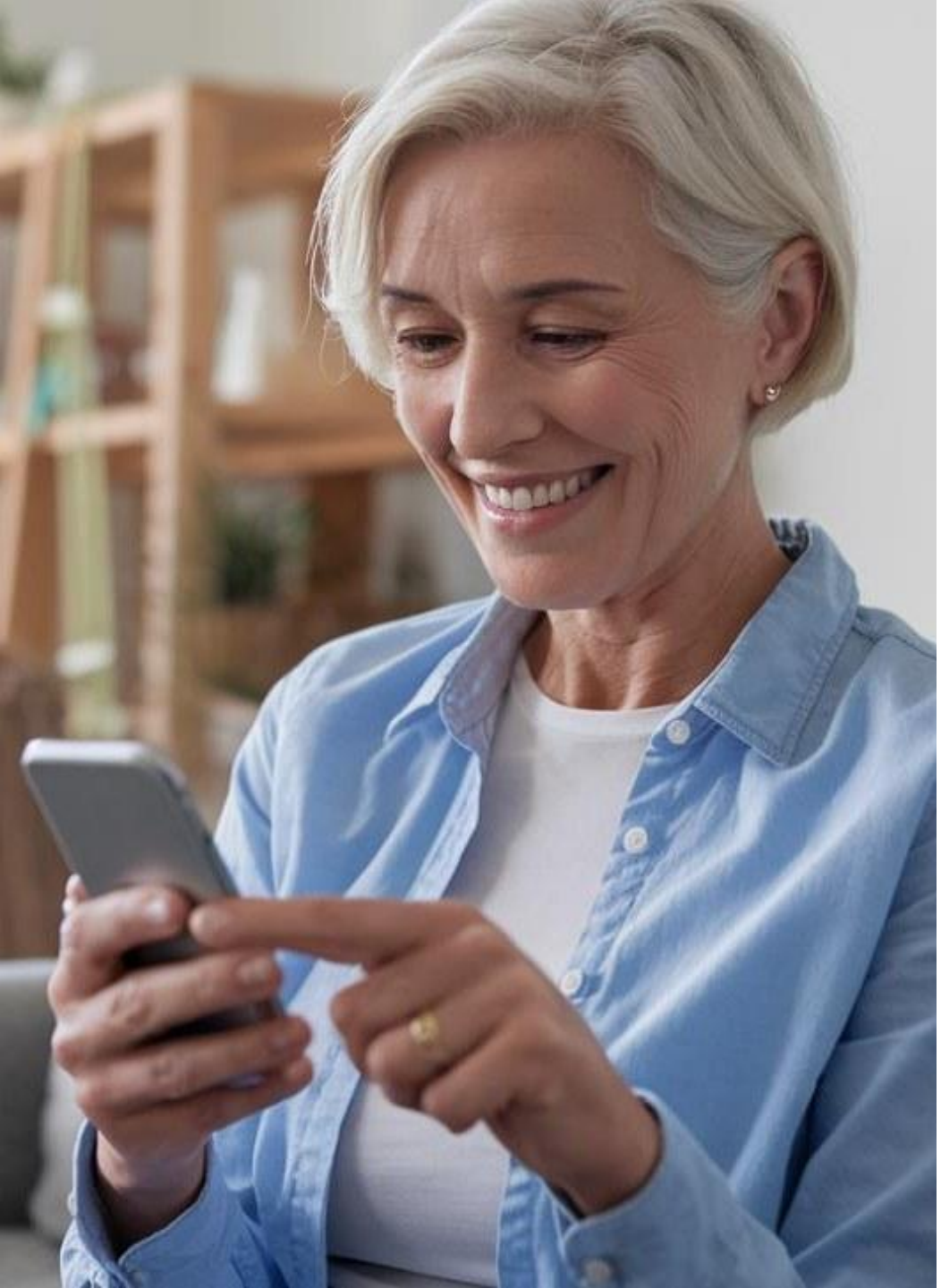
added annual cost per obese individual (KFF)

04

Platform and go-to-market

Clinical integration, pharmacy, stop-loss, sales and implementation

KEY BENEFIT ADMINISTRATORS



CLINICAL INTEGRATION

Integration with the Epic EHR

KBA shares evidence-based standards of care for **27 chronic conditions** directly into Epic, so Froedtert ThedaCare clinicians see gaps in care at the point of care.

Example standard: Hyperthyroidism: yearly clinical evaluation, TSH and T4

Epic App Orchard

VALUE-BASED CARE

The missing piece to value-based care



Patient engagement is the weak link in value-based care. Froedtert ThedaCare's clinical leadership and employer participation can drive better outcomes.



KBA's proactive care management team supplements Froedtert ThedaCare's own outreach to patients.



Froedtert ThedaCare excels in standards-of-care completion for the chronically ill, improving care and cost.



Integrating Froedtert ThedaCare's managed care with KBA's programs positions Froedtert ThedaCare as the value leader.

Transparent PBM integration

Froedtert ThedaCare-centered pharmacy

- Support Froedtert ThedaCare's retail pharmacies
- Optimize Froedtert ThedaCare's 340B drug pricing program
- Option for Froedtert ThedaCare to create its own PBM program
- Custom phone number with personalized scripting and call tracking
- Customizable member welcome booklet and materials
- White-labeled formulary and marketing materials

Clinical flexibility

- Full portfolio of custom formularies with an optimized formulary shield
- Clinical programs that advance the overall DTE strategy
- More drug savings by moving members to lower-cost alternatives
- Customize or layer on utilization management programs

Custom client support

- Specialized call center capabilities
- Fully customizable plan designs
- Operational access to the platform
- Processes customized to promote the DTE strategy

The KBA stop-loss experience

20+

stop-loss underwriters and carriers

$150M+

annual stop-loss premium placed

Comprehensive pricing and medical service analysis for every DTE plan ensures proper pricing. KBA provides the administration the stop-loss markets require:

- ✓ Bordereau reporting
- ✓ Evaluation of networks
- ✓ Initial underwriting
- ✓ Plan design actuarial
- ✓ Claim reporting and reconciliation
- ✓ Care management
- ✓ Negotiation of rates and terms

CARRIER RELATIONSHIPS INCLUDE

Tokio Marine	Nationwide
Berkshire Hathaway	Sun Life
Liberty Mutual	Granular (Google)
Companion Life	Crum & Forster
American Fidelity	RGA



DTE PROGRAM MARKETING AND SALES

KBA works with you to manage and sell

- Branding and messaging
- Direct and brokerage sales distribution with a focused sales representative
- Brochures, website and media
- Stop-loss and level-funded options down to 20 employee lives
- Sell through established brokers in your service area



SALES STRATEGY

A community-based sales strategy

1. A locally based sales rep with strong community ties
2. Work with DTE provider partners to identify strategic employers for early adoption
3. Partner with select brokers whose incentives and goals are aligned
4. Shared pipeline reporting and collaboration with DTE provider partners
5. Marketing and promotion of the new option in the community

A complete marketing system

- Customized branding and messaging
- Customized brochures
- Customized website
- Targeted employer outreach
- Sales system: social media, email, text and more



Sample private-label plan website

COLLABORATION OF STAKEHOLDERS

Everyone at the table wins

Key Benefit Administrators

- Full TPA administration
- Stop-loss administration
- True transparency and analytics
- Population health management
- Utilization and case management
- Sales and marketing
- Transparent PBM
- Website and mobile app
- Customizable options and plans

Froedtert ThedaCare's DTE

- Incremental revenue and margin
- Branding and messaging
- Benefit plan integration
- Network steerage
- Direct relationship with self-funded employers
- Referral authorization
- Plan transparency
- Direct access to members

Employer

- Reduced spend
- "At the table" with Froedtert ThedaCare
- Improved analytics
- Complete transparency
- Lower stop-loss
- Benefit plan stabilization
- Healthier population

Employee

- Reduced out-of-pocket
- Improved health
- Better coordination and navigation of care
- Direct access to the best medical providers

Who does what

Froedtert ThedaCare

- Tier 1 provider network
- Provider recruitment, if necessary
- Network pricing and contract terms
- Referral management protocols and approvals
- Medical director oversight
- Practice improvement program using KBA/AHDI data, with KBA assistance

KBA Consulting

- Program oversight and integration across the enterprise
- Goal development, agreement and tracking
- Start-up assessments: market, network, operations and readiness
- Draft business plan with financial projections
- Engagement with Froedtert ThedaCare's C-suite, operations, HR, managed care, marketing, strategy and business development

KBA Operations

- Network evaluation: actuarial pricing
- PPO wrap and tertiary transplant network, if needed
- Claims administration
- Plan design development, testing and administration
- Employer, member and provider customer service
- Customized member, provider, agent and HR portal
- Billing, enrollment and premium management
- Fulfillment: SPD and customized ID cards
- COBRA/HIPAA administration
- Out-of-network negotiations
- Wrap PPO repricing
- Nurse coaching for the chronically ill
- Nurse triage to physicians and facilities
- Stop-loss underwriting, pricing and placement
- Stop-loss claims administration
- Complex case management
- PBM administration interface
- Reporting: utilization, gaps in care, physician profiling, referrals, chronic disease, employer risk
- Ancillary administration: dental, vision, life, 5500 and more
- HSA, FSA and HRA administration
- Sales and marketing plan: branding, distribution, sales management

PRE-IMPLEMENTATION

Get the network and the pricing right first

STEP 1

Provider file

- Determine gaps in medical service delivery
- Identify other key providers to potentially contract with on behalf of Froedtert ThedaCare
- Wrap the network to cover all other provider types

STEP 2

Pricing

- Dial in competitive stop-loss rates and Froedtert ThedaCare's net revenue and margins
- Actuarial evaluation compared to the market

IMPLEMENTATION

From decision to go-live in 6 to 8 months

MONTH 0	MONTH 1	MONTHS 1-6	MONTHS 3-6	MONTHS 6-8
Pre-implementation	**Agreement and project scope**	**Implementation**	**Sales and marketing**	**Go live**
Network gap and pricing analysis		Market outreach begins in month 3	Hire the sales executive	First employer groups enroll



Recommended next step: a working session with Froedtert ThedaCare leadership to confirm the service area and plan goals, and start the pre-implementation network and pricing analysis.

A partner you can trust

Our objectives are aligned

We know the market

Completely transparent

The sophistication and infrastructure to compete

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A

Appendix: financial projections and assumptions

Payer mix, margin, market share, steerage and scenario detail for a Froedtert ThedaCare-branded plan

KEY BENEFIT ADMINISTRATORS

APPENDIX

Estimated Froedtert ThedaCare 2023 payer mix

Payer Group	Total Inpatient Days	Revenue	Payer Mix
All Froedtert ThedaCare Health	**386,125**	**$4,603,991K**	**100%**
Medicare	91,422	$566,838K	23%
Medicaid	27,943	$289,613K	7%
Other Government Pay	0	-	-
No-Pay, Charity Care	20,279	-$251,776K	5%
Commercial/Self Pay	246,481	$3,745,592K	64%

Values from the CMS Medicare Provider Cost Report, Definitive Healthcare and MedPAR.

Estimating payer mix

- Medicare, Medicaid and other government mixes are each group's inpatient days divided by total inpatient days.
- No-pay and charity care is no-pay/charity revenue as a share of total revenue.
- Commercial/self-pay is the remainder.

Estimating inpatient days

- No-pay and commercial days are their payer mix shares multiplied by total inpatient days.
- Outpatient payer mix is assumed to mirror inpatient. Total Medicare revenue is from MedPAR.

APPENDIX

Estimated margin: commercial vs. government pay

RAND data estimates Froedtert ThedaCare commercial reimbursement at 432% of Medicare rates.

Commercial margin

Counterfactual: all government-pay patients paid at commercial rates

Commercial Revenue	$3,745,592K
Gov-pay revenue at 432% current rate	$3,703,772K
Total Revenue	$7,449,364K
Total Costs	$4,652,634K
Net Income	**$2,796,730K**

38%

Government-pay margin

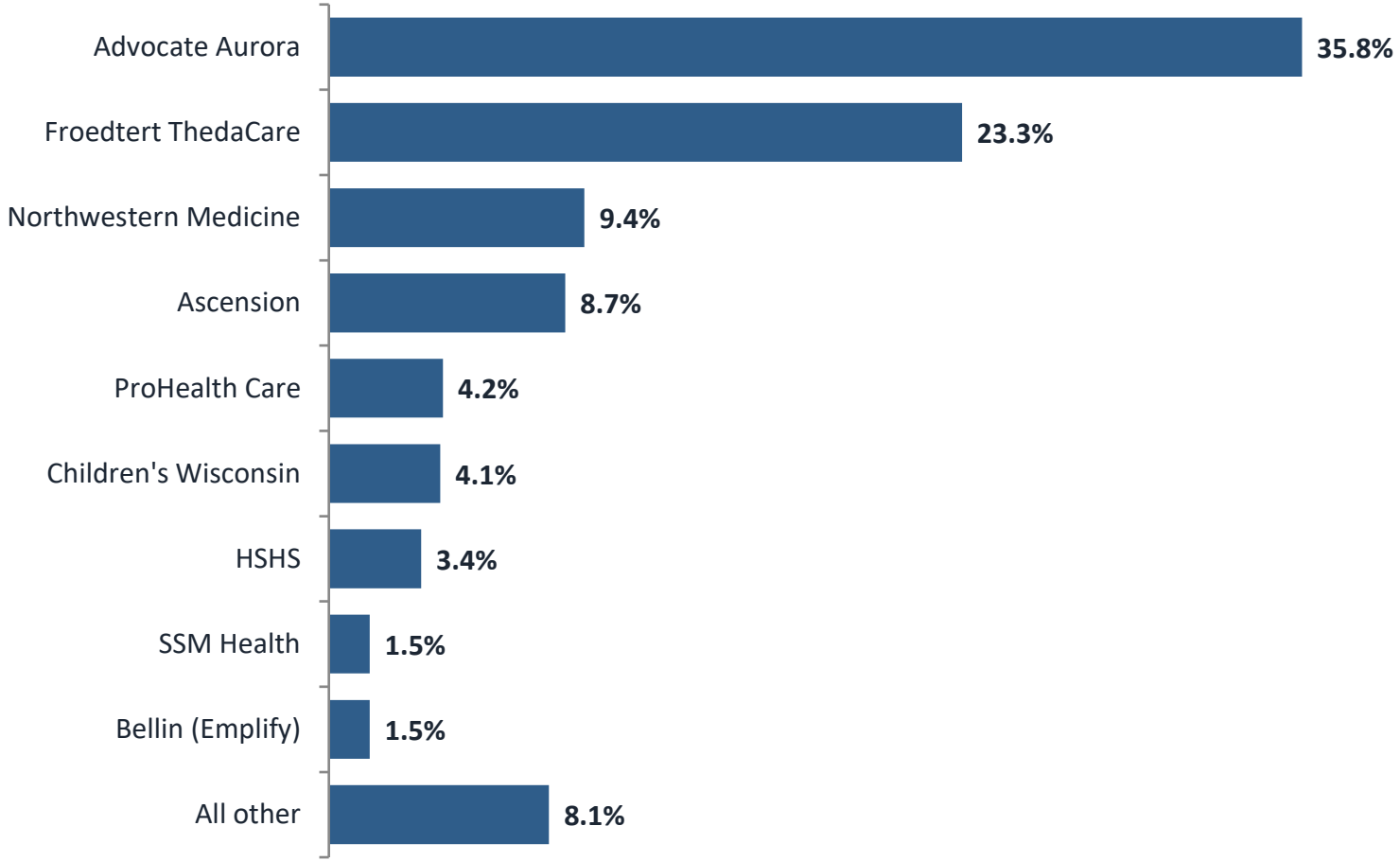
Counterfactual: all commercial patients paid at Medicare rates

Commercial Revenue Divided by 432%	$866,122K
Gov-pay revenue	$856,452K
Total Revenue	$1,722,574K
Total Costs	$4,652,634K
Net Income	**$-2,930,061K**

-170%

APPENDIX

Inpatient market share by health system



23%

Froedtert ThedaCare inpatient share today

14%

Outpatient share*

67%

Modeled inpatient steerage for plan members by Year 4

Share of inpatient charges at hospitals in the Froedtert ThedaCare service area, grouped by system. *Outpatient share assumes 66% of local physicians are employed by area hospitals (Physician Advocacy Institute).

Estimating market share (1 of 3)

Hospital	Beds	Inpatient charges	Outpatient charges	IP share	OP share*
Froedtert Pleasant Prairie Hospital	151	$448,974.7K	$1,086,216.6K	2%	2%
ThedaCare Regional Medical Center - Neenah	166	$379,557.2K	$501,903.8K	1%	1%
Froedtert West Bend Hospital	70	$185,847.0K	$407,098.3K	1%	1%
Froedtert Menomonee Falls Hospital	130	$450,588.5K	$682,876.0K	2%	1%
Holy Family Memorial Medical Center	45	$67,843.0K	$266,445.2K	<1%	<1%
ThedaCare Regional Medical Center - Appleton	146	$401,249.4K	$991,381.8K	2%	1%
Froedtert Hospital	731	$4,015,623.7K	$4,949,722.6K	15%	7%
Froedtert Community Hospital - New Berlin	16	$6,982.3K	$158,651.7K	<1%	<1%
ThedaCare Medical Center - Wild Rose	10	$5,211.2K	$29,304.4K	<1%	<1%
ThedaCare Medical Center - New London	17	$10,450.6K	$86,431.1K	<1%	<1%
ThedaCare Medical Center - Waupaca	25	$21,117.5K	$145,003.7K	<1%	<1%
ThedaCare Medical Center - Shawano	25	$38,383.1K	$262,196.2K	<1%	<1%
ThedaCare Medical Center - Berlin	23	$29,956.1K	$149,536.2K	<1%	<1%
Vista Medical Center East	166	$329,202.1K	$368,518.8K	1%	1%
City of Hope Chicago	73	$95,221.4K	$858,592.9K	<1%	1%
Northwestern Medicine McHenry Hospital	460	$1,493,402.5K	$2,477,148.2K	6%	4%
Northwestern Medicine Lake Forest Hospital	140	$967,267.1K	$2,896,624.4K	4%	4%
Advocate Condell Medical Center	275	$1,329,374.7K	$1,143,250.9K	5%	2%
Captain James A Lovell Federal Health Care Center	199	n/a	n/a	n/a	n/a
Encompass Heath Rehabilitation Hospital of Libertyville	60	$42,182.7K	$0.3K	<1%	<1%
Lake Behavioral Hospital	161	$121,384.3K	$4,748.7K	<1%	<1%
Aspirus Stevens Point Hospital	82	$111,427.6K	$443,992.4K	<1%	1%
ProHealth Waukesha Memorial Hospital	272	$926,784.3K	$1,602,719.0K	4%	2%
Ascension NE Wisconsin - St Elizabeth Campus	244	$391,725.0K	$839,104.8K	2%	1%
Aurora Medical Center - Manitowoc County	57	$83,700.0K	$312,876.2K	<1%	<1%
Aurora Medical Center - Sheboygan County	118	$270,769.7K	$812,722.8K	1%	1%

Froedtert ThedaCare facilities in green.
*Outpatient share assumes 66% of local physicians are employed by area hospitals (Physician Advocacy Institute, Avalere Physician Employment Trends Study 2019-2023).

APPENDIX

Estimating market share (2 of 3)

Hospital	Beds	Inpatient charges	Outpatient charges	IP share	OP share*
Aurora Medical Center - Washington County	35	$62,228.4K	$285,053.6K	<1%	<1%
Clement J Zablocki VA Medical Center	196	n/a	n/a	n/a	n/a
HSHS St Nicholas Hospital	47	$52,929.2K	$314,550.2K	<1%	<1%
Ascension NE Wisconsin - Mercy Campus	104	$81,028.9K	$150,633.6K	<1%	<1%
Bellin Hospital Green Bay	259	$388,201.1K	$1,924,088.6K	1%	3%
Ascension Columbia St Marys Hospital Milwaukee	672	$973,041.1K	$1,432,694.8K	4%	2%
Aurora Medical Center - Burlington	43	$127,546.0K	$415,917.2K	<1%	1%
ProHealth Oconomowoc Memorial Hospital	63	$139,973.8K	$366,800.4K	1%	1%
HSHS St Vincent Hospital	210	$661,404.3K	$1,605,282.3K	3%	2%
Ascension St Francis Hospital	73	$55,388.4K	$362,458.7K	<1%	1%
SSM Health St Agnes Hospital - Fond du Lac	105	$345,010.4K	$946,329.7K	1%	1%
Ascension All Saints Hospital - Spring Street Campus	263	$319,632.8K	$681,600.9K	1%	1%
HSHS St Marys Hospital Medical Center	72	$161,278.5K	$384,894.1K	1%	1%
Watertown Regional Medical Center	76	$124,250.1K	$247,613.6K	<1%	<1%
Ascension SE Wisconsin Hospital - St Joseph Campus	344	$415,981.8K	$948,121.0K	2%	1%
Aurora St Lukes Medical Center	1,290	$4,531,393.5K	$5,345,191.4K	17%	8%
Aurora West Allis Medical Center	202	$589,047.6K	$879,294.0K	2%	1%
Aurora Medical Center - Kenosha	74	$509,168.1K	$1,129,537.7K	2%	2%
Aurora BayCare Medical Center	167	$662,207.8K	$1,710,735.6K	3%	3%
Orthopaedic Hospital of Wisconsin	30	$31,697.1K	$243,500.8K	<1%	<1%
Aurora Medical Center - Oshkosh	84	$201,732.5K	$781,075.6K	1%	1%
Midwest Orthopedic Specialty Hospital	16	$40,849.3K	$239,399.6K	<1%	<1%
Aurora Medical Center - Summit	109	$264,401.9K	$533,054.2K	1%	1%
Aurora Medical Center - Grafton	132	$590,809.2K	$934,913.7K	2%	1%
Ascension Wisconsin Hospital - Menomonee Falls	16	$3,200.2K	$88,041.6K	<1%	<1%
Marshfield Medical Center - River Region at Stevens Point	5	$2,182.8K	$115,311.8K	<1%	<1%

Froedtert ThedaCare facilities in green.
*Outpatient share assumes 66% of local physicians are employed by area hospitals (Physician Advocacy Institute, Avalere Physician Employment Trends Study 2019-2023).

Estimating market share (3 of 3)

Hospital	Beds	Inpatient charges	Outpatient charges	IP share	OP share*
HSHS St Clare Memorial Hospital	23	$9,476.2K	$72,981.8K	<1%	<1%
Ascension Calumet Hospital	25	$3,137.5K	$65,875.0K	<1%	<1%
SSM Health Ripon Community Hospital	15	$16,323.0K	$71,431.1K	<1%	<1%
SSM Health Waupun Memorial Hospital	25	$27,847.4K	$169,186.4K	<1%	<1%
Lakeview Specialty Hospital & Rehab	35	$66,663.8K	$958.7K	<1%	<1%
Select Specialty Hospital - Milwaukee West Allis	63	$389,658.8K	$142.1K	1%	<1%
Ascension Sacred Heart Rehabilitation Hospital	15	$22,302.8K	$3,748.5K	<1%	<1%
ProHealth Rehabilitation Hospital of Wisconsin	40	$35,032.1K	$3,608.6K	<1%	<1%
Milwaukee Rehabilitation Hospital at Greenfield	40	$36,463.7K	n/a	<1%	n/a
Green Bay Rehabilitation Hospital	40	$32,679.7K	n/a	<1%	n/a
ClearSky Rehabilitation Hospital of Kenosha	39	$19,806.4K	n/a	<1%	n/a
ClearSky Rehabilitation Hospital Lakeshore	36	n/a	n/a	n/a	n/a
Childrens Wisconsin - Milwaukee Campus	309	$1,032,396.7K	$828,251.8K	4%	1%
Fox Valley Hospital-Childrens Wisconsin	42	$34,186.9K	$12,447.5K	<1%	<1%
Aurora Psychiatric Hospital	72	$103,103.5K	$63,406.4K	<1%	<1%
Winnebago Mental Health Institute	335	$65,740.8K	n/a	<1%	n/a
Brown County Community Treatment Center	16	$14,431.9K	$380.1K	<1%	<1%
Rogers Behavioral Health in Oconomowoc	90	$306,305.4K	$190,986.8K	1%	<1%
Fond Du Lac County Acute Psychiatric Unit	16	$4,915.6K	$6,434.6K	<1%	<1%
Waukesha County Mental Health Center	16	$6,383.1K	n/a	<1%	n/a
Willow Creek Behavioral Health	72	$55,552.6K	$7,833.4K	<1%	<1%
Granite Hills Hospital	60	$39,205.3K	$672.3K	<1%	<1%
Mental Health Emergency Center Inc	6	$169.6K	$27,085.0K	<1%	<1%
Rogers Behavioral Health in Brown Deer	56	$66,557.3K	$14,422.0K	<1%	<1%
Rogers Behavioral Health in West Allis	81	$96,020.1K	n/a	<1%	n/a

Froedtert ThedaCare facilities in green.
*Outpatient share assumes 66% of local physicians are employed by area hospitals (Physician Advocacy Institute, Avalere Physician Employment Trends Study 2019-2023).

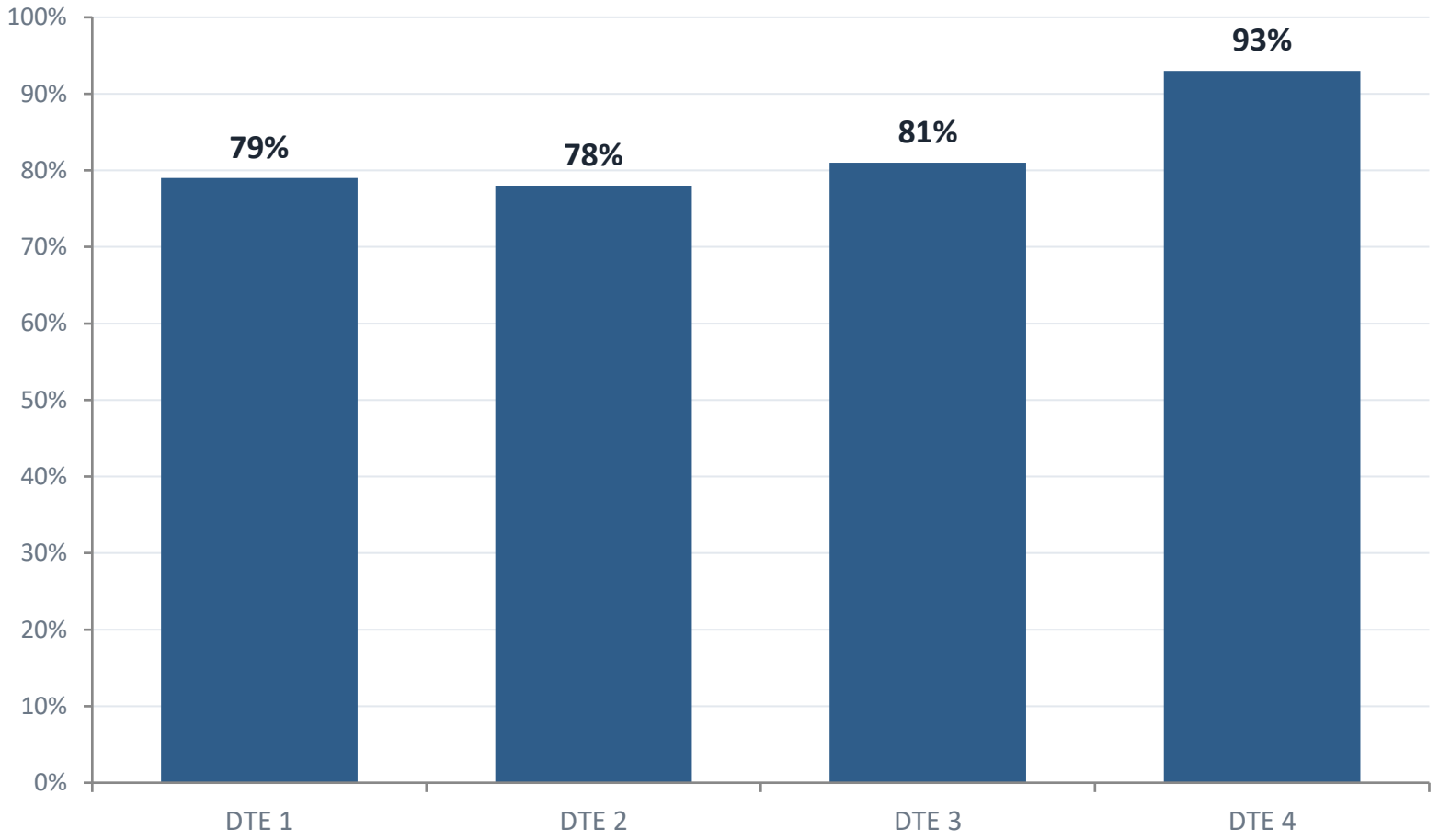
APPENDIX

Froedtert ThedaCare hospital metrics

Hospital	Inpatient revenue	Outpatient revenue	Commercial revenue	Operating expenses	Net income	Commercial mix	Commercial margin
Froedtert Pleasant Prairie Hospital	$131,999K	$319,348K	$375,659K	$446,758K	$4,695K	56.7%	36.5%
ThedaCare Regional Medical Center - Neenah	$138,918K	$183,697K	$278,148K	$278,781K	$44,164K	73.8%	40.9%
Froedtert West Bend Hospital	$46,833K	$102,589K	$127,986K	$164,575K	$-14,857K	57.9%	25.9%
Froedtert Menomonee Falls Hospital	$118,505K	$179,596K	$247,889K	$298,888K	$-1,059K	58.2%	35.6%
Holy Family Memorial Medical Center	$16,418K	$64,480K	$67,162K	$114,362K	$-33,448K	52.7%	9.7%
ThedaCare Regional Medical Center - Appleton	$140,839K	$347,975K	$418,112K	$427,464K	$61,872K	72.5%	41.1%
Froedtert Hospital	$1,108,312K	$1,366,123K	$1,944,768K	$2,632,676K	$-160,959K	63.4%	37.7%
Froedtert Community Hospital - New Berlin	$1,857K	$42,201K	$39,418K	$29,622K	$14,367K	77.5%	50.0%
ThedaCare Medical Center - Wild Rose	$2,131K	$11,985K	$11,133K	$13,970K	$161K	66.9%	42.0%
ThedaCare Medical Center - New London	$4,086K	$33,795K	$32,263K	$34,122K	$3,728K	65.5%	39.5%
ThedaCare Medical Center - Waupaca	$7,771K	$53,361K	$52,002K	$55,837K	$5,358K	67.2%	39.1%
ThedaCare Medical Center - Shawano	$14,586K	$99,635K	$93,968K	$96,701K	$17,371K	67.1%	46.5%
ThedaCare Medical Center - Berlin	$11,174K	$55,777K	$57,083K	$58,878K	$8,017K	66.1%	40.8%

Source: CMS provider cost reports; Medicare costs from MedPAR. Metrics labeled "estimated" are derived from other data points. Full metric set available on request.

Steerage rates for current DTE networks



83%

average Tier 1 steerage across KBA DTE networks

Data collected from KBA DTE networks in Q1 2024.

APPENDIX

Projected plan growth over 20 years

Year	Employees	Members	Froedtert ThedaCare share of inpatient care	Froedtert ThedaCare share of outpatient care
1	1,200	2,200	60%	50%
2	2,400	4,300	60%	50%
3	4,000	7,200	65%	55%
4	**6,100**	**11,000**	**67%**	**58%**
5	8,600	15,500	68%	60%
6	11,800	21,200	68%	60%
7	15,600	28,100	69%	61%
8	20,100	36,200	69%	62%
9	25,100	45,200	69%	62%
10	30,500	54,900	70%	63%
11	36,100	65,000	70%	63%
12	41,600	74,900	70%	64%
13	46,700	84,100	71%	64%
14	51,300	92,300	71%	65%
15	55,100	99,200	71%	66%
16	58,300	104,900	72%	66%
17	60,800	109,400	72%	66%
18	62,700	112,900	72%	67%
19	64,200	115,600	72%	67%
20	65,300	117,500	72%	67%

- KBA estimates Froedtert ThedaCare holds 23% inpatient and 14% outpatient market share in its service area today.
- Based on prior DTE experience, KBA expects a significant jump in steerage to Froedtert ThedaCare.
- More steerage comes from member bonus benefits and the Convenience Card.
- High estimates start about 10% above target and low estimates about 10% below.
- Year 4 (highlighted) is the basis for the Year 4 projections.

APPENDIX

Year 4 projected revenue and profit

Pre-DTE cohort of 10,900 members	Inpatient	Outpatient	Professional	Total
Revenue†	$8,111,684	$9,012,728	$4,208,867	**$21,333,280**
Net Income‡	$2,465,952	$2,739,869	$1,279,496	**$6,485,317**

† Proportional revenue from 23% inpatient and 14% outpatient market share. ‡ Commercial margin of 30.4% (80% of the estimated commercial margin).

With DTE	Inpatient	Outpatient	Professional	Total
Revenue[o]	$23,396,414	$36,688,823	$17,133,369	**$77,218,606**
Net Income*	$7,112,510	$11,153,402	$5,208,544	**$23,474,456**

[o] 67% inpatient and 58% outpatient steerage based on KBA DTE experience. * 30.4% commercial margin, less 10 points for competitive rates, plus 10 points for lower billing costs and better patient collections via the Convenience Card.

Year 4 profit bridge

Total Increase in Net Income	$16,989,139
Network Access Fee (Revenue) of $1 PMPM	$130,800
Total Profit Growth	$17,119,939
Minus Implementation Fee (One-Time)	-$0
Minus Sales and Marketing (Annual – Ongoing)	-$180,000
Total	**$16,939,939**

APPENDIX

Target scenario detail by service line ($K)

Target estimate: 50%+ within-plan steerage, 30.4% commercial margin, modeled with Year 1 fees and steerage

Metric	500 lives	1000 lives	5000 lives	25000 lives
Pre-DTE Group Inpatient Revenue	$372.1	$744.2	$3,721.0	$18,604.8
Pre-DTE Group Inpatient Margin	$113.1	$226.2	$1,131.2	$5,655.9
DTE Group Inpatient Revenue	$958.7	$1,917.3	$9,586.6	$47,932.8
DTE Group Inpatient Margin	$291.4	$582.9	$2,914.3	$14,571.6
DTE Group Incremental Inpatient Revenue	$586.6	$1,173.1	$5,865.6	$29,328.0
DTE Group Incremental Inpatient Margin	$178.3	$356.6	$1,783.1	$8,915.7
Pre-DTE Group Outpatient Revenue	$413.4	$826.9	$4,134.3	$20,671.4
Pre-DTE Group Outpatient Margin	$125.7	$251.4	$1,256.8	$6,284.1
DTE Group Outpatient Revenue	$1,452.0	$2,904.0	$14,519.8	$72,599.2
DTE Group Outpatient Margin	$441.4	$882.8	$4,414.0	$22,070.2
DTE Group Incremental Outpatient Revenue	$1,038.6	$2,077.1	$10,385.6	$51,927.8
DTE Group Incremental Outpatient Margin	$315.7	$631.4	$3,157.2	$15,786.1
Pre-DTE Group Professional Revenue	$193.1	$386.1	$1,930.7	$9,653.4
Pre-DTE Group Professional Margin	$58.7	$117.4	$586.9	$2,934.6
DTE Group Professional Revenue	$678.1	$1,356.1	$6,780.6	$33,903.2
DTE Group Professional Margin	$206.1	$412.3	$2,061.3	$10,306.6
DTE Group Incremental Professional Revenue	$485.0	$970.0	$4,850.0	$24,249.9
DTE Group Incremental Professional Margin	$147.4	$294.9	$1,474.4	$7,372.0
Net Margin Less DTE Fees	**$317.5**	**$964.9**	**$6,144.7**	**$32,043.7**

APPENDIX

Target scenario summary ($K)

Target estimate: 50%+ within-plan steerage, 30.4% commercial margin, modeled with Year 1 fees and steerage

Metric	500 lives	1000 lives	5000 lives	25000 lives
Pre-DTE Group Total Revenue	$978.6	$1,957.2	$9,785.9	$48,929.5
Pre-DTE Group Total Margin	$297.5	$595.0	$2,974.9	$14,874.6
DTE Group Total Revenue	$3,088.7	$6,177.4	$30,887.0	$154,435.2
DTE Group Incremental Total Revenue	$2,110.1	$4,220.2	$21,101.1	$105,505.7
Incremental Total Revenue by Member	$4.2	$4.2	$4.2	$4.2
DTE Group Total Margin	$939.0	$1,877.9	$9,389.7	$46,948.3
DTE Group Incremental Total Margin	$641.5	$1,282.9	$6,414.7	$32,073.7
Wellness Share	$6.0	$12.0	$60.0	$300.0
Implementation Fee (One-Time)	$150.0	$150.0	$150.0	$150.0
Sales and Marketing Annual Fee	$180.0	$180.0	$180.0	$180.0
Net Margin Less DTE Fees	**$317.5**	**$964.9**	**$6,144.7**	**$32,043.7**

APPENDIX

High scenario summary ($K)

High estimate: 60%+ within-plan steerage, 35.4% commercial margin, modeled with Year 1 fees and steerage

Metric	500 lives	1000 lives	5000 lives	25000 lives
Pre-DTE Group Total Revenue	$978.6	$1,957.2	$9,785.9	$48,929.5
Pre-DTE Group Total Margin	$297.5	$595.0	$2,974.9	$14,874.6
DTE Group Total Revenue	$3,677.2	$7,354.4	$36,771.9	$183,859.5
DTE Group Incremental Total Revenue	$2,698.6	$5,397.2	$26,986.0	$134,929.9
DTE Group Total Margin	$1,301.7	$2,603.5	$13,017.3	$65,086.3
DTE Group Incremental Total Margin	$1,004.2	$2,008.5	$10,042.3	$50,211.7
Wellness Share	$6.0	$12.0	$60.0	$300.0
Implementation Fee (One-Time)	$150.0	$150.0	$150.0	$150.0
Sales and Marketing Annual Fee	$180.0	$180.0	$180.0	$180.0
Net Margin Less DTE Fees	**$680.2**	**$1,690.5**	**$9,772.3**	**$50,181.7**

APPENDIX

Low scenario summary ($K)

Low estimate: 40%+ within-plan steerage, 25.4% commercial margin, modeled with Year 1 fees and steerage

Metric	500 lives	1000 lives	5000 lives	25000 lives
Pre-DTE Group Total Revenue	$978.6	$1,957.2	$9,785.9	$48,929.5
Pre-DTE Group Total Margin	$297.5	$595.0	$2,974.9	$14,874.6
DTE Group Total Revenue	$2,502.7	$5,005.3	$25,026.6	$125,132.9
DTE Group Incremental Total Revenue	$1,524.1	$3,048.1	$15,240.7	$76,203.3
DTE Group Total Margin	$635.7	$1,271.4	$6,356.8	$31,783.8
DTE Group Incremental Total Margin	$338.2	$676.4	$3,381.8	$16,909.2
Wellness Share	$6.0	$12.0	$60.0	$300.0
Implementation Fee (One-Time)	$150.0	$150.0	$150.0	$150.0
Sales and Marketing Annual Fee	$180.0	$180.0	$180.0	$180.0
Net Margin Less DTE Fees	**$14.2**	**$358.4**	**$3,111.8**	**$16,879.2**